MGT402 - Cost & Management Accounting (Quiz 2)

Question # 2 of 10 (Start time: 01:47:35 PM, 28 June 2025)

Which of the following is/are reason(s) for occurring of abnormal loss?

Select the correct option

○	Defective material used
○	Poor workmanships
◉	All of the given
○	Machine breakdown

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 9 of 10 (Start time: 01:50:32 PM, 28 June 2025)

According to marginal costing concept, all fixed costs are considered as:

Select the correct option

○	Production cost
○	Mixed cost
○	Sunk cost
◉	Period cost

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 1 of 10 (Start time: 01:47:12 PM, 28 June 2025)

In cost of production report, if, equivalent units with respect to: Direct material: 800; Direct labor: 500; and FOH: 450.

Required: Identify "labor cost per unit " if direct labor cost is Rs. 1600

Select the correct option

○	Rs. 3.56
◉	Rs. 3.20
○	Rs. 2.00
○	Rs. 1.71

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 3 of 10 (Start time: 01:47:49 PM, 28 June 2025)

Profit under absorption costing will be higher than under marginal costing if:

Select the correct option

○	Profit cannot be determined with given statement
○	Produced units < Units sold
●	Produced units > Units sold
○	Produced units =Units sold

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 7 of 10 (Start time: 01:49:13 PM, 28 June 2025)

When 10,000 closing units of work-in-process are 30% completed as to conversion, it means:

Select the correct option

○	30% of the units are completed
○	70% of the units are completed
○	Each unit has been completed to 70% of its final stage
●	Each of the unit is 30% completed

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 5 of 10 (Start time: 01:48:36 PM, 28 June 2025)

The difference between unit product costs under absorption costing as compared to variable costing is:

Select the correct option

○	Fixed and variable portions of manufacturing overhead
○	Variable manufacturing overhead only
○	Direct materials and direct labor
◉	Fixed manufacturing overhead only

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 8 of 10 (Start time: 01:49:32 PM, 28 June 2025)

Which of the following is the best characteristic of a by product:

Select the correct option

◉	Has a lower selling price than the main product
○	Usually produces a larger amount of revenue than the main product
○	Is produced from material that would otherwise be of no value
○	Is created along with the main product, but its sales value does not cover its production cost

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 4 of 10 (Start time: 01:48:06 PM, 28 June 2025)

Units started in process can be computed as:

Select the correct option

- ○ Units completed in the department x Units still in process + Units loss (normal loss)
- ○ Units completed in the department - Units still in process + Units loss (normal loss)
- ◉ Units completed in the department + Units still in process + Units loss (normal loss)
- ○ Units completed in the department - Units still in process x Units loss (normal loss)

MGT402 - Cost & Management Accounting (Quiz 2) **Quiz Start Time: 01:47 PM, 28 June 2025**

Question # 10 of 10 (Start time: 01:51:03 PM, 28 June 2025) **Total Marks:** 1

If units started in process are 35,000, units still in process are 5,000 and degree of completion is 100% materials & 60% conversation cost. Which of the following is Equivalent Production quantity of Material cost?

Select the correct option

Reload Math Equations

- ○ 3,000 units
- ◉ 35,000 Units
- ○ 33,000 units
- ○ None of the given options

Click to Save Answer & Move to Next Question

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 6 of 10 (Start time: 01:48:57 PM, 28 June 2025)

In cost of production report; which of the following formula is used to compute equivalent units produced?

Select the correct option

○	Fully completed units x percentage completed of the in-process units
○	Fully completed units ÷ percentage completed of the in-process units
●	Fully completed units + percentage completed of the in-process units
○	Fully completed units - percentage completed of the in-process units